

April Labour Force Preview

#employment

#labour

#employment



By Ryan Wells

Economist, Westpac

12:10 May 15 2026

 Share

It is still too early to detect any material shifts in the labour market stemming from the Middle East conflict or recent interest rate rises. The April Labour Force Survey (LFS) could still deliver a surprise of its own though, due to the timing of the survey completely overlapping the Easter holidays – something that has caused unexpected results in the past.



- The March Labour Force Survey (LFS) showed that the overall labour market was in decent shape before the impacts from the Middle East conflict or recent interest rate rises. Employment growth was regaining momentum after hitting a trough earlier in the year, and the unemployment rate held steady at 4.3%.
- The focus has now shifted to how the labour market will respond to the new backdrop of high inflation, higher interest rates and slower growth. April is still too soon to detect any significant changes, but data on hours worked and industry breakdowns will be closely watched for early signs.
- We have pencilled in only a modest lift in employment of +10k. With the participation rate holding steady at 66.8%, the unemployment rate should also remain at 4.3%. Our forecast for employment captures some downside risk of a 'seasonal abnormality' – the complete overlap of the April LFS with the Easter holidays could over-emphasise seasonal weakness.
- The ABS are introducing some changes to the design, content and systems surrounding the collection of the LFS, as part of Bureau's efforts to modernise the survey. Over the next five months, the LFS will be in a "transition period" (this is why the April survey release has been pushed back by a week). This will not have an impact on the headline statistics that inform our view of key trends and assessing the degree of tightness in the labour market.

Recap of March LFS

The March LFS was the first official piece of 'hard' economic data we received since the onset of the Middle East conflict. It was too early to expect flow-on effects from the Middle East shock or from recent interest rate rises to be appearing in labour market measures, however. Instead, the data provided us with a picture of the starting point for the labour market before these forces impact.

The key message was that the labour market was in decent shape. That said, the data had challenged the RBA's earlier assessment that "the labour market has tightened a little recently". The fall in the unemployment rate to 4.1% around the turn of the year proved temporary, as it lifted back to 4.3% in February and held at that level in March. While the RBA still views the labour market as "somewhat tight", it did slightly tweak its language in that there is no longer a mention of the labour market having "tightened a little", as we suggested.

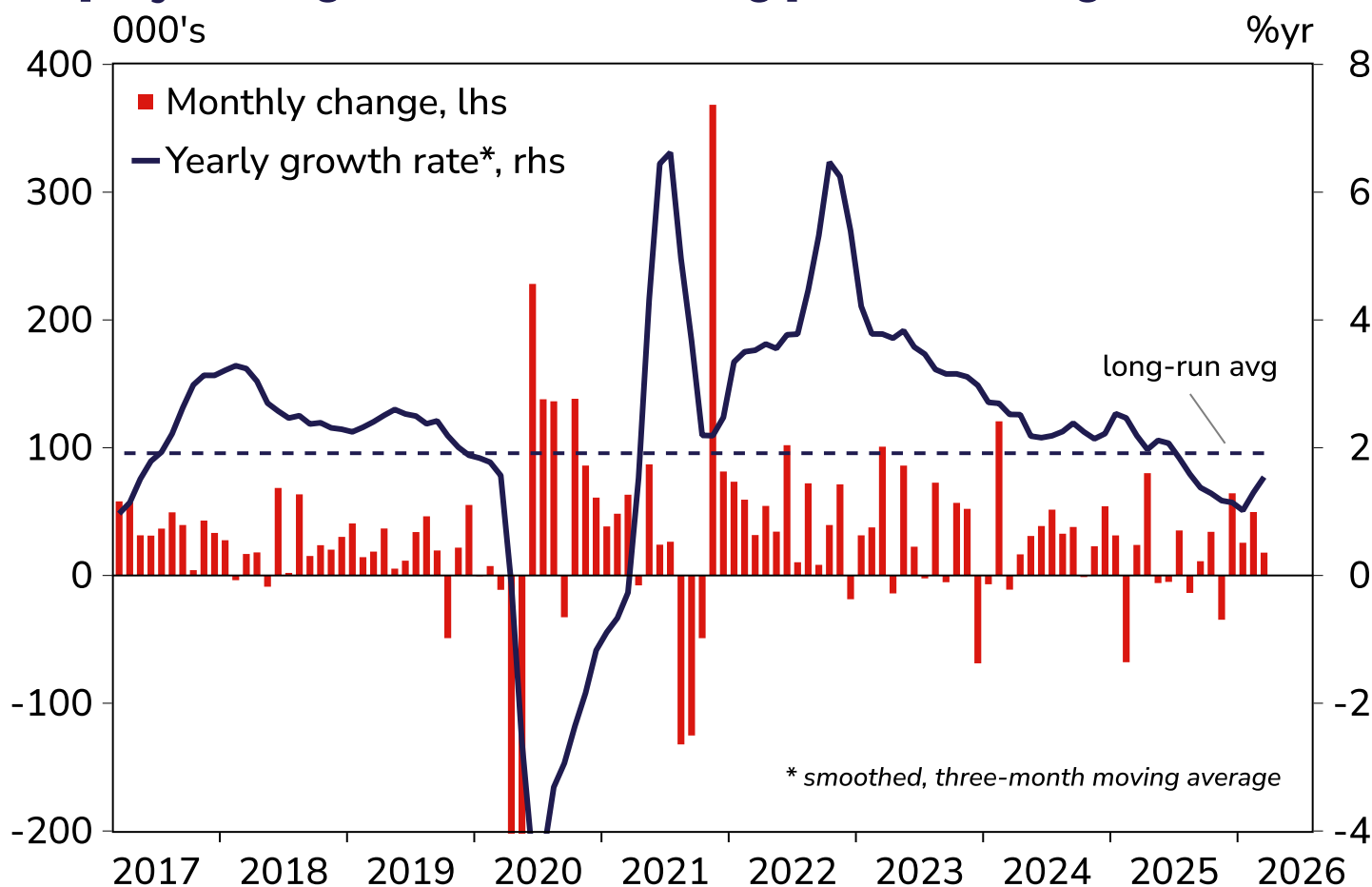
Encouragingly, employment was also starting to gather momentum after recently hitting a trough, the increase of +17.9k in March lifting the annual growth pace up to 1.5%yr on a three-month average basis. This follows on from last year's recovery in domestic demand, which was starting to see job gains broaden across consumer- and business-facing industries.

The focus has shifted

While the March LFS painted a decent picture of the starting point for the labour market, the outlook has become gloomier as the Middle East conflict has unfolded. There is growing evidence of fuel costs being passed-through across the economy, leading to higher prices and, ultimately, a lift in underlying inflation near-term. To ensure this does not get embedded into expectations and guard against upside risks, the RBA will need to respond with further policy tightening – we believe another two 25bp rate hikes in August and September is most likely.

High inflation and higher interest rates will weigh on economic growth, and this will eventually feed into a weaker labour market with a bit of a lag. We are not expecting anything as severe or generalised as a recession, but the return of 'sluggish' growth means employers will likely put new hiring decisions on hold and opt to reduce the number of hours offered to staff where possible. Experiences will vary across industries – those more exposed to the fuel shock likely to show weakness more quickly, such as manufacturing, construction, transport/logistics and travel/tourism.

Employment growth was moving past its trough



Source: ABS, Macrobond, Westpac Economics

What are we thinking for April?

For April, we have pencilled in only a modest lift in employment of +10k. With the participation rate holding steady at 66.8%, the unemployment rate should also remain at 4.3%.

Our forecast for employment is on the weaker side as it also captures some downside risk associated with the timing of the survey and Easter holidays (see below). Additionally, some partial indicators in the lead-up to the April LFS have been on the weaker side – ANZ-Indeed job ads fell 0.8% in April and the employment sub-index from the NAB business survey dropped 5pts to its weakest level in nearly two years. These should be taken with a grain of salt though, given these data rarely line up with the exact month-to-month moves in the LFS.

We will be keeping a close eye on the hours worked data and the industry-level data for any early signs of stress, although the main message is that it is still probably too early to detect any material shifts in

the labour market at this stage. And as far as the RBA is concerned, the most immediate and pressing concern is inflation, so this round of labour market data (given there is no major surprise) is unlikely to shift the policy calculus materially.

Any seasonal quirks to bear in mind?

One point worth noting with the April LFS is that there have occasionally been surprising results depending on how much of the Easter holidays (i.e. Good Friday and Easter Monday) is captured by the survey. Given the variable timing of Easter each year – ranging between late March and late April – the April survey may either entirely overlap, partially overlap, or completely miss the holidays in any given year.

This is important because seasonal patterns are distinct around holiday periods – for example, hours worked might be weaker because more people decide to take leave, or employment may decline as some people decide to take a break before switching jobs. Given Easter holidays change timing each year, this can present a challenge for seasonal adjustment. In any case, seasonal adjustment allows us to strip out what the ‘normal’ April looks like. This gives us a sense of whether this year’s April month is stronger or weaker than normal. But if there is a much wider range of outcomes around this ‘normal’ (because of the varied timing of Easter), then the data could end up being over- or under-adjusted.

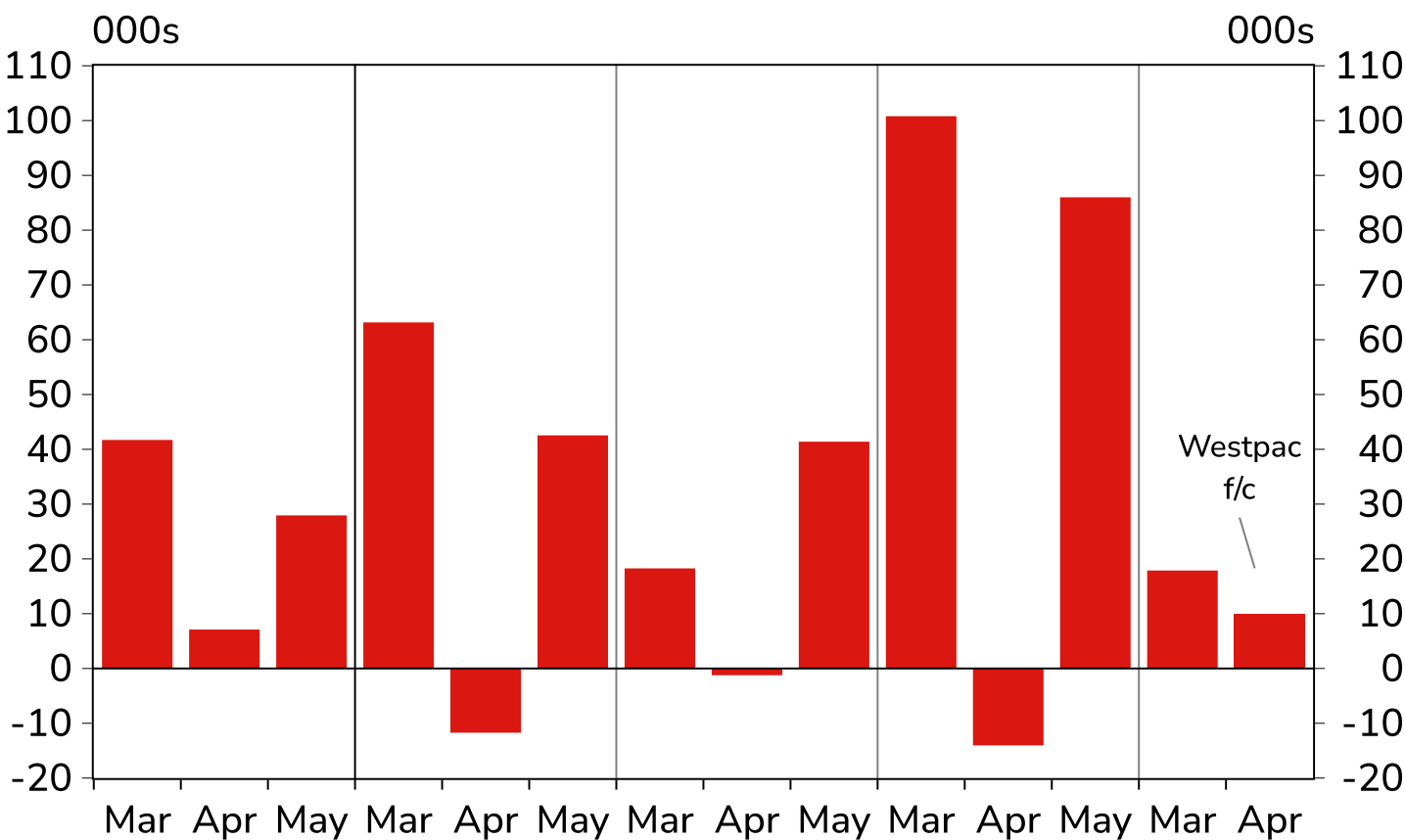
The ‘rarest’ case we see is the April LFS completely overlapping the Easter holidays, capturing both Good Friday and Easter Monday. This has only happened a handful of times in recent history: in 2006, 2012, 2015 and 2023. In these years, the clearest pattern that has emerged is within the employment data: larger falls in April, followed by a rebound in May. Other outcomes have been a bit more mixed, but we have generally seen a temporary lift in unemployment and tick-down in labour force participation in some of these years too.

This year, the April LFS is in the field from 29 March to 11 April, meaning this will be another year where there is a complete overlap of the April survey with Good Friday (3 April) and Easter Monday (6 April). Therefore, we need to be aware of the risk that employment could be a bit softer than expected, or we get some surprising results around unemployment or participation.

We have incorporated some of this downside risk into our estimate, but of course, this abnormal seasonality doesn’t happen in isolation – the broader trends forming in the labour market and other bits of noise play significant roles too.

Employment Change in 'Full Overlap' Years

Years April LFS Covers Good Friday & Easter Monday



Source: ABS, Macrobond, Westpac Economics

Upcoming changes to the LFS

The ABS are introducing some changes to the design, content and systems surrounding the collection of the LFS, as part of their work to modernise the survey. Over the next five months, the LFS will be in a “transition period”. This will not have an impact on the headline statistics that inform our view of key trends and assessing the degree of tightness in the labour market.

However, some of the supplementary data products used for more specific insights will be impacted. Some will be permanently ceased, some will be moved to supplementary surveys that are conducted less frequently, while some will be temporarily on hold. The complete list of changes to tables can be found [here](#).

During this transition period, the release of the survey will be pushed back by a week. In doing so, the ABS will be consolidating the data into one single release item, rather than splitting it up into a “headline” and “detailed” release over two weeks. Later this year, the ABS plans to publish another article confirming the final survey outputs after the transition is complete, from the September 2026 survey onwards.

Stay informed with Westpac IQ

Get the latest reports straight to your inbox.

Subscribe

Related articles

#employment

The tide is shifting in the jobs market

May 22 2026 • ⌚ 3 mins

By [Ryan Wells](#)



#employment

April Labour Force: Easter accentuates genuine weakening

May 21 2026 • ⌚ 5 mins

By Ryan Wells

#employment

Labour market on decent footing before shocks emerge

April 17 2026 • ⌚ 3 mins

By Ryan Wells

Browse topics

#aud

#australia

#interestrates

#nzd

#usd

#newzealand

#rates

#credit

#yieldcurve

#acgb

#inflation

#rba

#semigovernment

#basis

#commodities

#ustreasury

#fx

#rbnz

#jpy

#abs

Show more tags

Disclaimer

©2026 Westpac Banking Corporation ABN 33 007 457 141 (including where acting under any of its Westpac, St George, Bank of Melbourne or BankSA brands, collectively, “Westpac”). References to the “Westpac Group” are to Westpac and its subsidiaries and includes the directors, employees and representatives of Westpac and its subsidiaries.

Things you should know

We respect your privacy: You can view the [New Zealand Privacy Policy](#) here, or the [Australian Group Privacy Statement](#) here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide [here](#) or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2) of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found [here](#). Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.